EXECUTIVE SUMMARY

A. Introduction

The Municipality of Abulug lies along the northwestern part of the province of Cagayan. It is approximately 124 kilometers away from Tuguegarao city, the capital town. It is bounded on the north by the Babuyan Channel; on the south by the province of Apayao; on the east by the Municipality of Ballesteros and on the west by the municipality of Pamplona, Cagayan.

Tulug, the original name of Abulug had been a flourishing fishing village long before Don Juan Salcedo sailed to the mouth of Abulug River in 1572. In 1969, the name ""Tulug"" was changed into Abulug including two barangays of Fotol and Capinatan. It is a typical Ybanag town. The immigrating Ilocanos had contributed to large extent to the progress of the town. Abulug has a total land area of 19,969 hectares or 199.69 square meters representing 2.22% of the total area of the province.

B. Highlights of Financial Information

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2016 and 2015:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2016	2015	Increase (Decrease)
Assets	₱243,066,432.52	₱154,391,165.59	₱88,675,266.93
Liabilities	101,929,672.41	94,459,011.01	7,470,661.40
Government Equity	141,136,760.11	59,932,154.58	81,204,605.53

b. Income and Expenses

	2016	2015	Increase (Decrease)
Income	96,608,613.70	₱88,349,529.58	₱8,259,084.12
Expenses	77,647,053.70	73,534,653.26	4,112,400.44

c. Appropriations/Obligation

	2016	2015	Increase (Decrease)
Appropriations	₱100,734,718.00	₱88,190,527.22	₱12,544,190.78
Obligations	98,201,732.24	79,490,143.32	18,711,588.92

d. Summary of Suspensions, Disallowances and Charges as of Year End

	2016	2015	Increase (Decrease)
Suspensions	-	-	-

Disallowances	₱556,501.93	₱536,449.33	₱20,052.60
Charges	-	-	-
Total			

The municipality's assets, liabilities and equity increased by ₱88,675,266.93, ₱7,470,661.40 and ₱81,204,605.53 respectively. Total income amounted to ₱96,608,613.70 which is ₱8,259,084.12 higher than last year's collection amounting to ₱88,349,529.58.

C. Scope of Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Abulug, Cagayan for the year ended December 31, 2016. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

D. Auditor's Opinion on the Financial Statements

We rendered an unqualified opinion on the fairness of the presentation of the Financial Statements of the Municipality of Abulug, Cagayan, as of December 31, 2016.

E. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. Travelling expenses claimed amounting to ₱163,740.00 during the "Seminar-Write shop of the Updating Revenue Code and Formulation of Market Code" on August 9 to 13, 2016 was not in accordance with the rates prescribed under Section 4 of the Executive Order No. 298 dated March 23, 2004.

We recommended management to refund the amount of ₱50,480.00 regarding over payment of traveling expenses and to follow strictly Executive Order No. 298.

2. Disbursement Vouchers and other required reports of the municipality were not submitted to the Office of the auditor within the prescribed period in violation of the provisions of COA Circular No. 2009-006 dated September 15, 2009 and Section 39 (1) & (3) of Presidential Decree (PD) No. 1445 resulting to delayed communication of post audit result.

We recommended that the Accounting Office strictly adhere with the provisions of COA Circular No. 2009-006 dated September 15, 2009 on the submission of accounts and other reports of the municipality on or before the set deadline to avoid administrative sanctions and/or disallowance of said accounts as provided for by Section 39 (1) & (3) of Presidential Decree (PD) No. 1445.

3. Programmed projects funded out of 20% IRA for CY 2016 totaling P2,552,999.60 were not implemented at year end thus, the programmed funds was not optimally utilized to achieve socio economic and development and environmental outcomes in the municipality as provided under DILG-DBM Joint Memorandum Circular No. 2011-1 dated April 13, 2011.

In view of the above, we recommended that the Municipal Government implement projects as planned and address the causes of the delay in the implementation of the development projects in order to maximize the utilization of the funds as intended and ultimately achieve desirable socio-economic development and environmental outcomes in the municipality.

4. Solid Waste Management Plan (SWMP) of Municipality of Abulug was approved by National Solid Waste Management Commission (NSWMC) however subject to submission of additional documents. Moreover activities and programs for 2015 and 2016 laid in the SWMP was not fully implemented.

We recommended the Management to fully adopt its Solid Waste Management Plan and implement all activities and programs laid therein.

5. Audit disallowances amounting to ₱556,501.93 remained unsettled contrary to COA Circular No. 2009-006 dated September 15, 2009.

We recommended that management employ all possible means provided by law for the settlement of disallowances. In addition, settlement of audit disallowances that become final and executor should be strictly enforced by withholding the salaries and other compensation due to the persons liable who are still employed with the government.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the seven (10) audit recommendations contained in the Annual Audit Report for Calendar Year 2015, three (3) were fully implemented, three (3) was not implemented and four (4) were partially implemented.